BREAKWAVE ADVISORS

Tanker Shipping

Bi-Weekly Industry Report

February 10, 2026

- **VLCC Rates Remain Strong, Next Leg Depends on Demand –** The sharp acceleration in VLCC freight seen **in late January appears to have peaked** for now. Nevertheless, the Baltic Dirty Tanker Index continues to trade near multi-year highs, reflecting the **strong gains** accumulated over recent months (around +90% YoY as of early February). The AG VLCC market showed softer momentum into early February. While AG–China rates edged up only modestly on the week, freight levels remain **exceptionally elevated**, with very strong month-on-month gains and rates more than doubling year-on-year. At the same time, elevated levels have **increased charterer resistance**, with some players stepping back or covering discreetly to limit further upside. Indian refiners have eased spot purchases of Russian crude, introducing **some uncertainty** around near-term Pacific flows, while Russian sellers have responded by widening price discounts to defend market share, particularly in Asia. However, a **full replacement of Russian** barrels remains **unlikely** in the short term. US crude does not provide a like-for-like alternative due to grade and refinery constraints, limiting its ability to displace heavier feedstocks. Indian buyers have also shown openness to Venezuelan crude on commercial grounds, though **volumes remain opportunistic** and price-driven rather than part of a sustained import pattern. It therefore remains uncertain whether the VLCC market is evolving toward a more Atlantic-driven structure. For now, regional VLCC supply tightness between the Arabian Gulf and West Africa remains the dominant driver of both upside and downside risk. **Softer Chinese crude import** momentum toward the end of January adds uncertainty to near-term demand visibility. Against this backdrop, freight markets appear to be consolidating at elevated levels, with recent corrections **driven more by cargo timing** than by any material weakening in underlying fundamentals.

- **Oil Prices Remian Firmly above $60/bbl, as Iran Potential Action Looms –** Once again, the oil market is holding its breath as the **potential for military action** against Iran and the uncertainty around such a development overshadows the relatively weak market fundamentals. As traditionally the weekend has bee the period of military action (at least the past few years) the "war premium" is usually inflated towards the end of the week and reduced once Monday comes. The headlines and articles around the developments are plentiful and it is **anybody's guess** what the potential outcomes might be. The range of oil prices under different scenarios vary vastly, and thus, it is difficult to even contemplate a strategy with a decent risk reward profile. Oil is tightly correlated to inflation which also affect equity valuations. Thus, the **near-term direction** of oil prices is tight to a number of other **macro related outcomes** in the markets and should be closely followed.

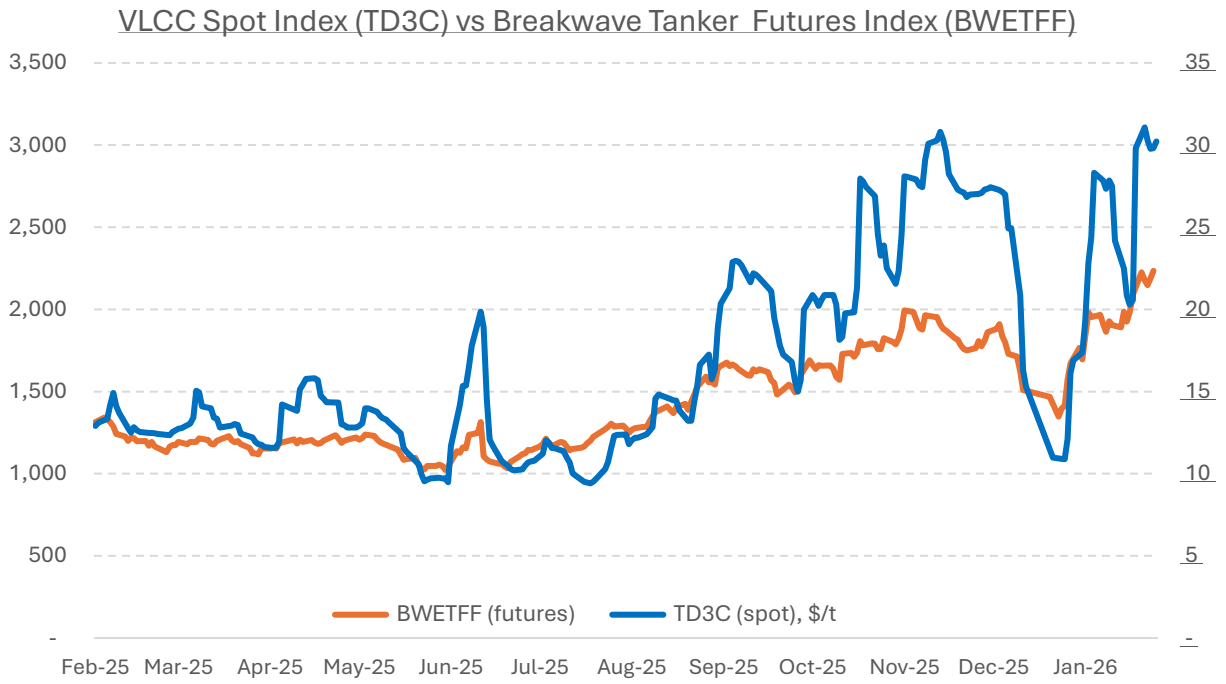
- **Our Long-term View –** The tanker market is recovering from a long period of staggered rates as the growth in new vessel supply shrinks while oil demand remains elevated in line with the global economy. A historically low orderbook combined with favorable shifting trade patterns should continue to support increased spot rate volatility, which combined with the ongoing geopolitical turmoil, should sustain freight rates in the medium to long term.

Short-term Indicators	
Momentum:	**Positive**
Sentiment:	**Positive**
Fundamentals:	**Positive**

Breakwave Tanker Futures Index:	**2332**
30D: 32.0%	↑
YTD: 58.8%	↑
YOY: 75.8%	↑
VLCC Middle East-Asia Spot Rates:	**28.10**
30D: 78.9%	↑
YTD: 97.4%	↑
YOY: 95.3%	↑

Reuters:	BWET.K
Bloomberg:	BWET US
Exchange:	NYSE

Breakwave Advisors Research
research@breakwaveadvisors.com



The Baltic TD3C Index measures the spot rate in USD per ton for Very Large Crude Carriers (VLLCC) operating in the Middle East to Asia route. The Breakwave Tanker Futures Index (BDRYFF) is designed to track freight futures contracts with a sector weighting of 90% VLCC TD3C and 10% Suezmax TD20 and a weighted average maturity of approximately 50-70 days.

Tanker Fundamentals

Demand	YTD	YOY
World Oil Demand	106,212 kbpd	1.4%
Oil Supply, OPEC	28,830 kbpd	6.7%
Oil Supply, non-OPEC	73,597 kbpd	1.2%
OECD Total Crude Oil Stocks	1066.8 MMbls	4.5%
US Crude Oil Exports	43.7 MMbls	-3.7%
China Oil Imports	579.0 MMbls	4.6%
Global Crude Oil On Water	1304.4 MMbls	18.6%

Supply

Tanker Fleet	711.8 mdwt	2.3%

Freight Rates

VLCC Middle East-Asia, USD/ton	15.43	22.8%
Suezmax West Africa-Europe, USD/ton	19.22	8.9%

Note: *All numbers as of latest available; Imports/Exports/Production are YTD sums as of latest reported; Inventories/Fleet are weekly totals*
Sources: *Bloomberg, IEA, Clarksons and Breakwave Advisors*

Disclaimer: *This research report has been prepared by Breakwave Advisors LLC solely for general information purposes and for the recipient's internal use only.* ***This report does not constitute and will not form part of and should not be construed as a solicitation of any offer or advice to buy or sell any security, commodity or instrument or related derivative or to participate in any trading or investment strategy****. The opinions and estimates included herein reflect views and available information as of the dates specified and may have been and may be subject to change without notice. An investment in BDRY and/or BWET ("the Funds") involves significant risks. You could lose all or part of your investment in the Funds, and each of the Fund's performance could trail that of other investments. The value of the Shares of the Funds relates directly to the value of, and realized profit or loss from, the Freight Futures and other assets held by the Fund, and fluctuations in price could materially affect the Funds' shares. Investments in freight futures typically fluctuate in value with changes in spot charter rates. Charter rates for dry bulk and tanker vessels are volatile and have declined significantly since their historic highs and may remain at low levels or decrease further in the future. The Funds will not take defensive positions to protect against declining freight rates, which could cause a decline to the value of the Funds' shares.* ***The Funds are not a mutual funds or any other type of investment company within the meaning of the Investment Company Act of 1940, as amended, and are not subject to regulation thereunder.***
Please visit www.breakwaveadvisors.com/disclosures

BREAKWAVE